

TECHNOVA ELECTRONICS INC.

SHIPPING INCIDENT INVESTIGATION REPORT

PERIOD	Q3 2025 (July – September)
SCOPE	All carriers — outbound laptop shipments
REPORT ID	SIR-2025-Q3-001
PREPARED BY	Logistics Operations
DATE	October 12, 2025

OVERALL OTD: 85.4%
(TARGET 95%)

CLASSIFICATION: INTERNAL USE ONLY

Executive Summary

Outbound shipping performance in Q3 2025 fell below target levels across all three carriers. Overall on-time delivery to customers was **85.4%** against a target of 95%. A total of 482 shipments were dispatched, with 71 arriving after the customer-promised delivery date. This report investigates the root causes of delivery failures by carrier, route, and product category, and recommends corrective measures.

Carrier Performance Summary

Carrier	Shipments	OTD %	Avg Transit	Late Count
RapidDeliver Couriers	173	87.3%	1.5 days	22
AirExpress Logistics	155	85.2%	1.5 days	23
LogiShip Express	154	83.8%	1.5 days	25

Important note on metric definition: “On-time delivery” in this logistics report measures carrier performance — actual delivery date vs customer-promised date. This is NOT the same as Procurement’s “supplier on-time delivery” which measures supplier goods receipt vs supplier-promised date. Both use the term “OTD” but measure different events at different points in the supply chain. Similarly, “lead time” here means transit time (dispatch to doorstep), averaging 1.5 days. Procurement measures PO-to-receipt (~11 days). Sales measures order-to-delivery (~12 days end-to-end).

Incident Analysis by Delivery Country

India (IN) — Domestic Deliveries

Highest volume destination. OTD: 88.1%. Common issue: last-mile delivery delays in Bangalore and Mumbai. Incidents: 4 cases of damaged packaging (humidity during monsoon).

United States (US)

OTD: 84.2%. Common issue: customs clearance delays for international shipments. Incidents: 2 cases of misrouted packages (Chicago hub). One shipment to QuantumLeap Ltd (Chicago) delayed 3 days.

Germany (DE)

OTD: 86.7%. Common issue: EU customs documentation incomplete. Incidents: 1 case of delivery to wrong address (Berlin). Thomas Andersen (Berlin) delivery was on-time but re-routed.

United Kingdom (GB)

OTD: 82.3%. Common issue: post-Brexit customs processing adds 1 day average. Most affected carrier: LogiShip Express (handling majority of UK routes).

Specific Notable Incidents

Field	Incident SH-INC-001	Incident SH-INC-002
Shipment	SH00000006 to QuantumLeap Ltd (Chicago)	SH00000001 to Ravi Kumar (Bangalore)
Carrier / Route	LogiShip Express / RT0004	RapidDeliver Couriers / RT0001

Field	Incident SH-INC-001	Incident SH-INC-002
Product	4x TechNova EduBook 14 Laptop	1x TechNova ProBook 15 Laptop
Dispatch / Delivery / Promised	Feb 20 / Feb 22 / Feb 19	Jan 11 / Jan 13 / Jan 10
Delay	3 days	3 days
Root Cause	Weather delay at logistics hub	Warehouse dispatch delay (goods issue late)
Customer Impact	Partial order cancellation threat	Complaint filed, credit note issued

Root Cause Categorization (71 late shipments)

Category	Count	% of Late
Carrier transit delay	28	39%
Warehouse dispatch delay	18	25%
Customs/documentation	12	17%
Address/routing error	7	10%
Weather/force majeure	4	6%
Damaged in transit (reshipment)	2	3%

Key Finding: 25% of late deliveries originated from warehouse dispatch delays (goods issue date later than planned). This is NOT a carrier problem — it is an internal warehouse operations issue. The logistics team receives goods for shipment only after the warehouse completes picking and goods issue. If warehouse operations are delayed (due to stock unavailability, QC holds, or staffing), the carrier pickup is pushed back, making the delivery appear late.

Cross-Domain Dependency

Warehouse stock health directly impacts logistics performance. Current warehouse status shows TechNova AirBook 13 at Low stock (43 units, 6 in QC hold) and TechNova WorkStation 16 at Low stock (29 units, 2 in QC hold). Low stock items take longer to pick and pack, adding 0.5–1 day to dispatch.

Carrier-Specific Issues

Carrier	Issue	Recommendation
LogiShip Express	Weakest customs documentation process for EU/UK routes	Pre-clearance documentation package for all EU shipments
AirExpress Logistics	Hub congestion at peak periods	Priority lane agreement for TechNova shipments
RapidDeliver Couriers	Best performing but inconsistent India last-mile	Local delivery partner for Tier-2 Indian cities

Recommendations & SLA Review

1. Warehouse-Logistics Handoff (addresses 25% of delays)

- Implement daily dispatch readiness review at 8:00 AM
- Pre-stage orders for next-day shipment during afternoon shift
- Alert logistics team when goods issue is delayed by >2 hours

2. Customs Pre-Clearance (addresses 17% of delays)

- Pre-file customs documentation for UK and EU shipments 48 hours ahead
- Assign dedicated customs broker for German and UK routes
- Create standardized documentation templates per destination country

3. Carrier SLA Renegotiation

Current SLA: 95% OTD with 3-day transit for international. Proposed tiered SLA by priority level:

Priority	Target OTD	Transit	Notes
Priority 1 (Make-to-Order)	98%	2-day	Penalty clause
Priority 2 (Standard)	95%	3-day	—
Priority 3 (Economy)	90%	5-day	—

4. Carrier Allocation Rebalancing

- Shift 15% of UK volume from LogiShip Express to AirExpress Logistics
- Assign RapidDeliver Couriers as primary for all India domestic
- Quarterly carrier scorecards published to all three carriers

Financial Justification

Item	Amount
Customer credits	\$18,000
Expedited reshipments	\$8,000
Internal handling	\$6,000
Current cost of late deliveries (Q3)	~\$32,000
Investment in recommendations	~\$15,000/quarter
Expected improvement	OTD from 85.4% to 92%+ within 2 quarters

Approved By

Logistics Manager: _____ Date: _____

Warehouse Manager: _____ Date: _____

VP Operations: _____ Date: _____